

Brookfield Corporation (BN)

Cash Earnings Are Compounding as Private Markets Reopen

BN, TSX / NYSE | Financials | Alternative Assets and Operating Businesses

OVERWEIGHT

Price (22 Aug 2024):	C\$64.16
Price Target (Dec-25):	C\$78.00

INVESTMENT THESIS

Brookfield generated Q2 distributable earnings before realizations of US\$1.1bn, or US\$0.71 per share, up 11% per share. Total distributable earnings reached US\$2.1bn as monetization activity improved.

The model combines asset-management fees, insurance spread income and cash distributions from operating businesses. Fee-bearing capital increased 17% to US\$514bn, while private-market liquidity and fundraising began to recover.

Our C\$78 December 2025 target applies 18.2x to FY25E pre-realization distributable earnings of roughly C\$4.28 per share, translating our US\$3.15 estimate at C\$1.36 per US dollar. The framework gives no full credit to carried interest or asset-value discounts.

- Q2 DE before realizations was US\$1.1bn or US\$0.71 per share; total DE was US\$2.1bn, up 80%.
- Asset-management DE was US\$636mm, Wealth Solutions earned US\$292mm and operating businesses contributed US\$371mm.
- Our C\$78 December 2025 target implies 21.6% price upside. Estimated dividends add 0.9%, for approximately 22.5% total return.

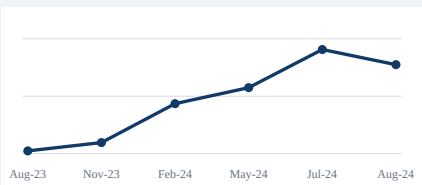
COMPANY OVERVIEW

Brookfield owns an interest in Brookfield Asset Management, a growing insurance and wealth platform, and investments across real estate, infrastructure, renewables and private equity. Capital allocation and access to long-duration capital are core strengths; complexity and valuation opacity are key risks.

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Independent research exercise

PRICE PERFORMANCE



Month-end closes; final point 22 Aug 2024.

COMPANY DATA

Shares outstanding	~1.51bn
Market cap	~C\$96.7bn
52-week range	~C\$40-68
Quarterly dividend	US\$0.08
AUM	~US\$1.0tn
Fee-bearing capital	US\$514bn
LTM DE / share	US\$2.77
Latest results	Q2 2024

KEY ESTIMATES

US\$m unless noted	FY22A*	FY23A	FY24E	FY25E
DE pre-real.	3,825	4,223	4,600	5,100
Pre-real. DE / sh.	2.38	2.66	2.85	3.15
Total DE	5,229	4,806	5,800	6,300
Fee-bearing cap.	417.9bn	457.0bn	~525bn	~580bn
Dividend / share	0.56	0.28	0.32	0.36

Q2 2024: CASH EARNINGS GREW AS MONETIZATIONS REOPENED

Every major earnings stream contributed. Fee-related earnings benefited from higher fee-bearing capital, insurance spread earnings grew after the AEL acquisition and operating businesses generated resilient distributions. Total DE also benefited from more transaction activity.

Metric	Q2/23	Q1/24	Q2/24	Y/Y	Read-through
Pre-realization DE	~US\$1.0bn	US\$1.0bn	US\$1.1bn	Up	Broad growth
Pre-real. DE / share	US\$0.64	US\$0.63	US\$0.71	+11%	Per-share growth
Total DE	~US\$1.2bn	~US\$1.2bn	US\$2.1bn	+80%	Monetizations
Asset management DE	~US\$0.6bn	~US\$0.6bn	US\$636mm	Up	Fee growth
Wealth Solutions DE	~US\$0.2bn	US\$273mm	US\$292mm	Up	AEL and spreads
Operating business DE	~US\$0.3bn	~US\$0.3bn	US\$371mm	Up	Resilient cash
Fee-bearing capital	~US\$439bn	~US\$459bn	US\$514bn	+17%	Fundraising base

FORECAST AND EARNINGS FRAMEWORK

We forecast double-digit pre-realization DE growth as fee-bearing capital, insurance assets and operating distributions compound. The model assumes gradually improving realizations but does not require peak transaction markets. Currency translation uses approximately C\$1.36 per US dollar.

US\$mm unless noted	FY22A*	FY23A	FY24E	FY25E	FY26E
DE before realizations	3,825	4,223	4,600	5,100	5,700
Pre-real. DE / share	2.38	2.66	2.85	3.15	3.50
Total DE	5,229	4,806	5,800	6,300	7,000
Asset management DE	2,455	2,554	2,600	2,900	3,200
Wealth Solutions DE	388	740	1,100	1,350	1,600
Operating-business dist.	1,534	1,462	1,500	1,600	1,700
Fee-bearing capital	417.9bn	457.0bn	~525bn	~580bn	~640bn
Dividend / share	0.56	0.28	0.32	0.36	0.40
Net investments	Material	Material	Material	Material	Material

REALIZATIONS ARE UPSIDE, NOT THE BASE CASE

Private-market activity can create volatile total DE. We base valuation on cash earnings before realizations and treat carried interest, monetization gains and discounts to underlying asset value as separate sources of optionality.

GROWTH DRIVERS: FEE CAPITAL, INSURANCE SPREADS AND CAPITAL RECYCLING

Brookfield compounds through permanent and long-duration capital, operating expertise and global origination. The key is converting scale into per-share cash earnings while maintaining underwriting discipline.

Driver	FY23A	Q2/24	FY25E	FY26E	Investment implication
Fee-bearing capital	US\$457.0bn	US\$514bn	~US\$580bn	~US\$640bn	Fee growth
AUM	~US\$900bn	~US\$1tn	>US\$1tn	Grow	Scale
Wealth Solutions	Scaling	US\$292mm DE	Grow	Grow	Spread earnings
Monetizations	Slow	Improving	Normalize	Normalize	Upside
Pre-real. DE / sh	US\$2.66	US\$0.71 Q2	US\$3.15	US\$3.50	Core value
Buybacks	Opportunistic	US\$0.8bn YTD	Continue	Continue	Per-share accretion

ASSET MANAGEMENT

Fundraising and deployment grow fee-bearing capital. Returns and realization markets affect carried interest, but recurring fee-related earnings remain the valuation anchor.

WEALTH SOLUTIONS

AEL expands insurance assets and reinvestment opportunity. Earnings depend on asset yields, funding costs, credit quality and disciplined duration management.

OPERATING BUSINESSES AND CAPITAL ALLOCATION

Infrastructure, renewables, private equity and real estate generate distributions and monetization opportunities. Holding-company complexity and leverage require a valuation discount.

VALUATION AND PRICE TARGET

Our December 2025 target is C\$78. The primary framework applies 18.22x to our FY25E translated pre-realization DE per share of C\$4.28. A cash-flow model and peer comparison provide cross-checks. The multiple reflects the company's quality and growth profile while retaining a discount for the principal risks identified in this report.

Method	Weight	Input	Output	Rationale
DE multiple	50%	18.22x FY25E C\$4.28	C\$78	Recurring cash earnings
Cash-flow model	30%	9% cost of equity; 5% growth	C\$75	Cash conversion
Peer check	20%	SOTP and NAV discount	C\$83	Relative valuation
Weighted target	100%		C\$78	Rounded target

VALUATION SENSITIVITY

FY25E DE / multiple	15.0x	17.0x	19.0x	21.0x	23.0x
C\$3.64	C\$55	C\$62	C\$69	C\$76	C\$84
C\$4.07	C\$61	C\$69	C\$77	C\$85	C\$94
C\$4.28	C\$64	C\$73	C\$81	C\$90	C\$98
C\$4.49	C\$67	C\$76	C\$85	C\$94	C\$103

At C\$64.16, the shares trade at 15.0x our FY25E translated pre-realization DE per share. The table is a mechanical sensitivity, not a forecast, and does not include dividends or balance-sheet changes.

SCENARIO ANALYSIS

Scenario	Probability	Key assumptions	Value
Bull	25%	Fundraising and realizations accelerate; discount narrows	C\$95
Base	55%	Double-digit cash growth; orderly monetizations	C\$78
Bear	20%	Credit losses or weak exits; discount widens	C\$53

The probability-weighted scenario value is C\$77. Our C\$78 target implies 21.6% price appreciation and approximately 22.5% total return including estimated dividends through December 2025. We rate BN Overweight.

CATALYSTS AND RISKS TO OUR RATING

UPSIDE CATALYSTS

- Private-market fundraising accelerates.
- Insurance spread earnings exceed plan.
- Asset sales narrow holding-company discounts.
- Buybacks occur below intrinsic value.

DOWNSIDE RISKS

- Realizations remain weak and carried interest is delayed.
- Insurance credit or duration losses emerge.
- Real estate and private equity valuations decline.
- Complexity and leverage sustain a wide discount.

METHODOLOGY AND SOURCE NOTES

1. Brookfield Corporation 2023 Annual Report published 8 February 2024: <https://bn.brookfield.com/sites/brookfield-bn-v2/files/brookfield-bn/reports-filings/annual-reports/2023/full-annual-report-new.pdf>
2. Brookfield Corporation Q1 2024 results dated 9 May 2024: <https://bn.brookfield.com/sites/brookfield-bn-v2/files/brookfield-bn/events-news/2024-q1-press-release-bn-f.pdf>
3. Brookfield Corporation Q2 2024 results and shareholder letter dated 8 August 2024: <https://bn.brookfield.com/sites/brookfield-bn-v2/files/BN-IR-Master/Press-Releases/2024/bn-2024-press-release-brookfield-corporation-reports-strong-second-quarter-results.pdf> and https://bn.brookfield.com/sites/brookfield-bn-v2/files/BN-IR-Master/Letter-to-Shareholders/2024/BN%20Q2%202024_Ltr_to_Shareholders_F.pdf
4. Market data: BN contemporaneous consolidated TSX close of C\$64.16 on 22 August 2024; TMX Alpha daily-record cross-check: <https://www.tsx.com/files/alpha/daily-record/AlphaDailyRecord08222024.pdf>
5. *FY22 is presented on the comparable basis after the December 2022 BAM distribution. All forecasts, currency assumptions, scenarios, rating and target are contemporaneous author estimates.

ANALYST AND MODEL DISCLOSURE

Strict point-in-time cutoff: 23 August 2024. Every factual input and reported result was public by that date. 'A' denotes actual and 'E' denotes the author's contemporaneous estimate; estimates, scenarios, rating and target do not use subsequent actual results or events. Prepared for Akul Veauli as an independent equity-research exercise. It is not affiliated with or endorsed by Brookfield Corporation, CI Financial, CI Global Asset Management, any dealer or any employer. Non-GAAP measures should be read with company reconciliations.

RATING DEFINITIONS

Rating	Mechanical definition
Overweight	Expected total return above 15% over the stated target horizon.
Neutral	Expected total return between 0% and 15%.
Underweight	Expected total return below 0%.

Expected total return equals price return to the stated target plus estimated dividends over the target horizon. This document is informational and educational only, is not an offer or recommendation, and does not consider any recipient's objectives, financial circumstances, liquidity needs or risk tolerance.